



Time: 6 minutes

Outcome: Calculate private, public, and national saving in closed and open economies.

Difficulty: Intermediate

Saving, Investment, and National-Saving Identities

THE CORE IDEA

With net taxes T , private saving is $Y - T - C$ and public saving is $T - G$. National saving is their sum: $S = Y - C - G$. In a closed economy, $S = I$. In an open economy, $S = I + NCO$; because $NX = NCO$ in the course model, $S = I + NX$. These are aggregate identities, not claims that each saver directly funds one investor.

HOW TO RECOGNIZE IT

- Budget surplus means $T - G$ is positive; a deficit makes public saving negative.
- Adding private and public saving cancels T and gives $Y - C - G$.
- Use $S = I$ only for the closed-economy model.
- In an open economy, saving can finance domestic investment or net capital outflow.

WATCH OUT

Do not reverse the public-saving sign. $T - G$ is public saving; $G - T$ is the budget deficit. Also state the closed-economy assumption before writing $S = I$.

WORKED EXAMPLE: FROM COMPONENTS TO OPEN-ECONOMY SAVING

Saving and its allocation (dollars)

	Calculation	Value
Private saving	$1200 - 150 - 760$	290
Public saving	$150 - 260$	-110
National saving	$290 - 110$	180
Domestic investment	Given	140
NCO and NX	$180 - 140$	40

Let $Y = \$1,200$, $T = \$150$, $C = \$760$, and $G = \$260$. Private saving is \$290; public saving is -\$110; national saving is \$180. If domestic investment is \$140, then $NCO = S - I = \$40$. The accounting identity also gives $NX = \$40$.

CHECK YOURSELF

Private saving is \$220 and public saving is -\$50. What is national saving?